Independent Auditor’s Report

Opinion

In our opinion the financial statements give a true and fair view.

Key Audit Matters

Income Statement

Group		
Rs. Mn		
Gross income	320,000	300,000
Interest income	290,000	272,000
Less: Interest expenses	(170,000)	(167,000)
Net interest income	120,000	105,000
Fee and commission income	28,000	25,000
Net fee and commission income	25,000	22,000
Net gains from trading	3,000	2,500
Total operating income	160,000	140,000
Less: Impairment charges	(15,000)	(18,000)
Net operating income	145,000	122,000
Total operating expenses	(60,000)	(55,000)
Operating profit before taxes on financial services	85,000	67,000
Taxes on financial services	(15,000)	(12,000)
Profit before income tax	70,000	55,000
Income tax expense	(25,000)	(20,000)
Profit for the year	45,000	35,000
Basic earnings per ordinary share	100.00	80.00

Statement of Financial Position

Group		
Rs. Mn		
Cash and cash equivalents	50,000	40,000
Balances with Central Bank	60,000	55,000
Placements with banks	30,000	28,000
Financial assets at amortised cost - loans and advances to customers	1,600,000	1,450,000
Financial assets at amortised cost - debt instruments	600,000	580,000
Property, plant and equipment	40,000	38,000
Total assets	2,500,000	2,300,000
Due to banks	40,000	45,000
Financial liabilities at amortised cost - due to depositors	1,900,000	1,750,000
Debt securities issued	60,000	55,000
Subordinated term debts	50,000	50,000
Total liabilities	2,250,000	2,080,000
Stated capital	50,000	50,000
Retained earnings	150,000	125,000
Total equity	250,000	220,000
Total equity and liabilities	2,500,000	2,300,000

Notes to the Financial Statements

1. Reporting entity

Hatton-like Bank PLC is a licensed commercial bank.

Related party transactions